Efficient and Equitable Taxation: In-Class Questions

EC313 Public Economics: Taxation, Fall 2026

These questions are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

Suppose estimates show that raising an extra dollar of revenue costs a province $1.50 of excess burden through its corporate income tax, but only $0.30 through its sales tax.

a) Is the province's tax mix efficient? Propose a reform that raises the same revenue, and explain why it lowers the total excess burden.

b) Give one reason, other than efficiency, why the government might resist your reform.

Question 2

On average, taller people earn more. A newspaper columnist proposes taxing people on their height instead of their income.

a) From the standpoint of efficiency, what is attractive about this tax?

b) Give two objections to it.

Question 3

Ana and Ben have identical tastes and do the same kind of work. Ben's employer pays him $60,000 in cash. Ana's employer pays her $58,500 plus free use of an on-site gym, which she values at $1,500 a year (what a membership would otherwise cost her). Before any income tax, the two jobs are equally attractive. Then a 25% income tax is introduced, and on-site gyms are not taxed.

a) Does the tax treat Ana and Ben equally under the traditional definition of horizontal equity? Under the utility definition, if workers can move freely between jobs like Ana's and jobs like Ben's? Use numbers to support your answer.

b) Years later, the government starts taxing on-site gyms as income. Explain why this change can create a horizontal inequity, even though it closes a tax break. What could the government do to ease the change?